

LUXORA FINANCE LTD

Money Services Business | Canada

ANTI-MONEY LAUNDERING & ANTI-TERRORIST FINANCING POLICY

Version	1.0
Effective Date	April 20, 2026
Classification	CONFIDENTIAL
Approved By	Board of Directors
Next Review	April 20, 2027

DOCUMENT CONTROL & COMPANY INFORMATION

LEGAL NAME	LUXORA FINANCE LTD.
BUSINESS TYPE	Money Services Business (MSB)
REGISTRATION	FINTRAC MSB Registration No.: N300000201
INCORPORATION	Federal Corporation — Canada Business Corporations Act (CBCA)
HEAD OFFICE	24-147 - 155 EAST BEAVER CREEK ROAD, RICHMOND HILL, ONTARIO, CANADA, L4B 2N1
PHONE / EMAIL	legal@luxorapay.net
SERVICES OFFERED	Foreign exchange dealing, money transferring, virtual currency exchange
GOVERNING LEGISLATION	Proceeds of Crime (Money Laundering) and Terrorist Financing Act (PCMLTFA); PCMLTFR; PCMLTFSTR
REGULATORY AUTHORITY	Financial Transactions and Reports Analysis Centre of Canada (FINTRAC)

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1. PURPOSE AND SCOPE

Luxora Finance Ltd. (hereinafter 'the Company,' 'we,' or 'Luxora') is committed to conducting all operations in full compliance with Canadian anti-money laundering (AML) and anti-terrorist financing (ATF) legislation. This Anti-Money Laundering and Anti-Terrorist Financing Policy ('the Policy') establishes the framework, procedures, and controls that Luxora has implemented to detect, prevent, and report money laundering, terrorist financing, and other financial crimes.

1.1 Objectives

- Ensure full compliance with the Proceeds of Crime (Money Laundering) and Terrorist Financing Act (PCMLTFA) and all associated regulations.
- Protect Luxora from being used as a vehicle for money laundering or terrorist financing.
- Identify, assess, and manage ML/TF risks inherent in the Company's business activities.
- Establish clear reporting obligations for employees, management, and the Board.
- Ensure timely and accurate reporting of prescribed transactions to FINTRAC.
- Preserve the Company's reputation and operating licence.

1.2 Scope

This Policy applies to:

- All directors, officers, employees, contractors, and agents of Luxora Finance Ltd.
- All products and services offered by the Company, including foreign exchange, money transfers, virtual currency exchange, prepaid payment products, and cheque cashing.
- All business relationships, whether domestic or international.
- All branches, subsidiaries, and agent locations operating under the Luxora brand or MSB registration.

Non-compliance with this Policy may result in disciplinary action up to and including termination, and may expose the Company and individual employees to criminal prosecution and regulatory penalties.

2. LEGAL FRAMEWORK

Luxora Finance Ltd. operates within a comprehensive regulatory framework. The primary legislation and regulations governing our AML/ATF obligations include:

Legislation / Regulation	Description
Proceeds of Crime (Money Laundering) and Terrorist Financing Act (PCMLTFA)	Primary Canadian statute imposing obligations on reporting entities, including MSBs, to detect and deter money laundering and terrorist financing.
Proceeds of Crime (Money Laundering) and Terrorist	Detailed regulations specifying client identification, recordkeeping, and reporting obligations for various categories of reporting entities.

Financing Regulations (PCMLTFR)	
Proceeds of Crime (Money Laundering) and Terrorist Financing Suspicious Transaction Reporting Regulations (PCMLTFSTRR)	Prescribes the form and manner of reporting suspicious transactions to FINTRAC.
FINTRAC Guidelines and Guidance Documents	Interpretive guidance issued by FINTRAC clarifying compliance obligations, including guidance specific to MSBs, PEPs, beneficial ownership, and virtual currencies.
Criminal Code of Canada	Creates offences related to money laundering (s. 462.31) and terrorist financing (s. 83.02–83.04), with severe criminal penalties.
Proceeds of Crime (Money Laundering) and Terrorist Financing Administrative Monetary Penalties Regulations	Sets out the framework for administrative monetary penalties (AMPs) that FINTRAC may impose for non-compliance.
United Nations Act / Freezing Assets of Corrupt Foreign Officials Act	Implements UN Security Council sanctions and Canadian autonomous sanctions that affect Luxora's screening obligations.
Office of the Superintendent of Financial Institutions (OSFI) Guidelines	While OSFI does not directly regulate MSBs, Luxora considers OSFI guidance as best-practice benchmarks.

Luxora acknowledges that FINTRAC has the authority to conduct compliance examinations, issue administrative monetary penalties (AMPs) of up to \$1,000,000 per violation for persons and \$2,000,000 per violation for entities, and refer cases to law enforcement where warranted.

3. COMPLIANCE OFFICER AND GOVERNANCE

3.1 Appointment of Chief Compliance Officer

The Board of Directors of Luxora Finance Ltd. has appointed a Chief Compliance Officer (CCO) to be responsible for the day-to-day implementation and oversight of the AML/ATF compliance program. The CCO must be a senior officer with sufficient authority, independence, and resources to discharge their responsibilities effectively.

3.2 Responsibilities of the CCO

- Develop, implement, and maintain this Policy and all supporting AML/ATF procedures.
- Ensure the Company meets all FINTRAC reporting, recordkeeping, and registration requirements.
- Serve as the primary point of contact for FINTRAC and law enforcement on compliance matters.
- Oversee client identification, KYC, and due diligence processes.
- Review and approve suspicious transaction reports (STRs) prior to submission.
- Design, deliver, and track AML/ATF training for all staff.
- Conduct or commission the periodic compliance effectiveness review.
- Report at least annually to the Board of Directors on the state of the compliance program.
- Monitor regulatory developments and update the Policy as required.
- Maintain communication with agent and branch networks on compliance matters.

3.3 Deputy Compliance Officer

A Deputy CCO shall be designated to act in the CCO's absence. The Deputy must possess equivalent knowledge of AML/ATF obligations and have access to all necessary systems and information to fulfill the CCO role on an interim basis.

3.4 Board Responsibilities

The Board of Directors is ultimately responsible for the culture of compliance at Luxora. The Board shall:

- Approve this Policy and any material amendments.
- Ensure adequate resources are allocated to the AML/ATF compliance program.
- Review the annual compliance report prepared by the CCO.
- Support a culture of compliance throughout the organization.

3.5 Senior Management Responsibilities

Senior management is responsible for:

- Implementing board-approved AML/ATF policies and procedures at the operational level.
- Ensuring all business lines understand and comply with their AML/ATF obligations.

- Supporting the CCO in obtaining information required for compliance purposes.
- Escalating material compliance issues to the Board in a timely manner.

4. RISK-BASED APPROACH AND RISK ASSESSMENT

4.1 Overview

FINTRAC requires all reporting entities to assess and document the risks of money laundering and terrorist financing to which they are exposed, and to take reasonable measures to mitigate those risks. Luxora Finance Ltd. adopts a risk-based approach (RBA) to focus its compliance efforts where risks are greatest.

4.2 Business-Wide Risk Assessment (BWRA)

The CCO shall conduct and document a Business-Wide Risk Assessment at least annually, or upon material changes to the business model, products, clients, or geography. The BWRA evaluates:

Risk Assessment Dimensions	
Products and Services	— Inherent ML/TF risks in foreign exchange, remittance, virtual currencies, prepaid products, and cheque cashing.
Clients	— Customer demographics, jurisdictions of origin, volume of transactions, and reliance on intermediaries.
Geographic Risk	— Countries to which funds are sent or received, including FATF high-risk jurisdictions and Canadian sanctions targets.
Delivery Channels	— In-person transactions, online platforms, mobile apps, agents, and third-party payment processors.
Business Partners	— Correspondent MSBs, payment networks, banks, and technology vendors.
Emerging Threats	— Typologies published by FINTRAC, FATF, Egmont Group, and the RCMP.

4.3 Risk Ratings

Each client, product, and relationship is assigned a risk rating of Low, Medium, or High based on the criteria set out in Appendix A. The risk rating determines the level of due diligence and monitoring applied.

Risk Level	Criteria and Corresponding Measures
LOW	Clients with verifiable identity, low-value or infrequent transactions, established residency in Canada, no adverse information. Standard CDD applies. Monitoring is periodic.
MEDIUM	Clients with some risk factors such as cross-border transactions, cash-intensive dealings, or limited verifiable history. Enhanced scrutiny at onboarding; enhanced transaction monitoring.
HIGH	PEPs, HIOs, clients in FATF-listed jurisdictions, virtual currency transactions above thresholds, complex multi-party structures, anonymous or hard-to-verify identities. Enhanced Due Diligence

	(EDD) mandatory. Senior management approval required for new relationships.
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4.4 Risk Mitigation Measures

Based on the BWRA, Luxora implements the following risk mitigation controls:

- Policies, procedures, and controls specific to identified high-risk areas.
- Proportionate client due diligence (Standard CDD and Enhanced Due Diligence).
- Transaction monitoring with risk-sensitive thresholds and alerts.
- Enhanced training for staff dealing with high-risk products, clients, or geographies.
- Periodic effectiveness testing of controls through the compliance review process.

5. CLIENT IDENTIFICATION AND KNOW YOUR CLIENT (KYC)

5.1 Obligation to Identify Clients

Luxora Finance Ltd. is required to identify clients before or during certain transactions, or when entering into a business relationship. Failure to identify a client when required is a reportable violation under PCMLTFR and may result in administrative monetary penalties.

5.2 When Identification Is Required

Luxora must identify clients in the following circumstances:

- Foreign exchange transactions of CAD \$3,000 or more.
- Money transfers of CAD \$1,000 or more, whether domestic or international.
- Virtual currency exchange transactions of CAD \$1,000 or more.
- Receipt of CAD \$10,000 or more in cash.
- Redemption of prepaid payment products of CAD \$1,000 or more.
- Cheque cashing of CAD \$3,000 or more.
- Upon establishing a business relationship (see Section 7).
- Upon reasonable grounds to suspect the transaction or activity is related to ML/TF, regardless of amount.

5.3 Methods of Identification — Individuals

Luxora uses the following FINTRAC-approved methods to verify the identity of individual clients:

5.3.1 Government-Issued Photo Identification (In-Person)

The employee must view the original, unexpired government-issued photo identification document and record:

- Document type (e.g., passport, driver's licence, provincial ID card).
- Document number.
- Issuing jurisdiction (province, territory, or country).
- Expiry date (if applicable).
- Name of the client as it appears on the document.
- Date of birth.

Acceptable government-issued photo ID documents include: Canadian passport, Canadian driver's licence, Canadian provincial or territorial identification card, permanent resident card, foreign passport, NEXUS card, and Canadian Forces identification card.

5.3.2 Credit File Method

Luxora may use a credit file maintained by a Canadian credit bureau (Equifax or TransUnion) that has been in existence for at least three years and contains the client's name, address, and date of birth. This method may be used for in-person or remote onboarding.

5.3.3 Dual-Process Method

Two reliable, independent sources may be used, each from a different category:

- A document issued by a government source that includes the client's name and date of birth or address (e.g., Canada Revenue Agency Notice of Assessment, provincial health card, Social Insurance Number card).
- A document issued by a financial institution or utility that includes the client's name and address.

5.3.4 Affiliate Method

Where Luxora relies on the identification performed by a Canadian affiliate, the affiliate's identification must have been performed using an equivalent method, and Luxora must immediately obtain the relevant information and retain records in accordance with this Policy.

5.3.5 Other Prescribed Methods

Luxora may use any other method prescribed by PCMLTFR, including reliance on a financial entity or securities dealer operating in Canada, provided appropriate written agreements are in place.

5.4 Remote / Non-Face-to-Face Identification

Where clients are identified remotely (e.g., through Luxora's online platform), the Company uses a combination of:

- Credit file verification (Equifax/TransUnion).
- Electronic identity verification (eIDV) through a FINTRAC-recognized service provider.
- Video-based identity verification, where an agent views the client and their ID via live video connection.
- Dual-process using digitized documents, where originals are assessed for authenticity using document verification technology.

All non-face-to-face clients are automatically assigned at least a Medium risk rating, and any transaction over CAD \$5,000 triggers additional identity confirmation steps.

5.5 Corporations and Other Legal Entities

When a client is a corporation, partnership, or other legal entity, Luxora must:

1. Confirm the entity's existence by obtaining and verifying:
 - Certificate of incorporation or registration.
 - Articles of incorporation or equivalent constating documents.

- Most recent annual return filed with the relevant corporate registry.
 - Partnership agreement (for partnerships).
 - Trust deed (for trusts).
2. Record the entity's full legal name, business address, and registration number.
 3. Identify all individuals who own or control 25% or more of the entity (beneficial owners) — see Section 6.
 4. Identify and verify the identity of at least one individual authorized to act on behalf of the entity.

5.6 Ongoing Updating of KYC Information

Luxora must ensure that KYC information is kept current throughout the business relationship. Employees must update client records:

- Annually for high-risk clients.
- Every two years for medium-risk clients.
- Every three years for low-risk clients, or when a material change in circumstances is detected.
- Whenever there is a change in circumstances that may affect the client's risk rating or transaction profile.

5.7 When Client Identification Cannot Be Completed

If Luxora cannot complete the required client identification measures, it must not complete the transaction or service and must consider whether to file a Suspicious Transaction Report (STR). This applies whether the inability is due to the client's refusal, inability to provide documents, or conflicting information.

6. BENEFICIAL OWNERSHIP

6.1 Requirement

Where Luxora enters into a business relationship with a corporation, trust, partnership, or other legal entity, it must take reasonable measures to determine whether the entity has any beneficial owners and, where beneficial owners exist, to verify their identity.

6.2 Definition of Beneficial Owner

A beneficial owner is any individual who directly or indirectly owns or controls 25% or more of the legal entity. For trusts, beneficial owners include the trustees, all known beneficiaries, and the settlor of the trust.

6.3 Process for Determining Beneficial Ownership

5. Ask the entity to provide a complete list of individuals who own or control 25% or more of the entity.
6. Obtain a signed declaration from the entity confirming the accuracy of the beneficial ownership information.
7. Verify the identity of each beneficial owner using the applicable identification methods described in Section 5.
8. Obtain or confirm the accuracy of the entity's ownership and control structure, including by reviewing:
 - Corporate registry records.
 - Shareholder agreements.
 - Trust documents.
 - Partnership agreements.
9. Where beneficial ownership cannot be determined or verified, escalate to the CCO and consider filing an STR.

6.4 Use of Beneficial Ownership Registries

Luxora will make use of Canada's federal beneficial ownership registry (under the Canada Business Corporations Act), provincial registries where available, and international registries where applicable. Registry information may be used as a corroborating source but cannot substitute for direct beneficial ownership declarations.

6.5 Complex Ownership Structures

For entities with layered or complex ownership structures (e.g., chains of holding companies, nominee shareholders), Luxora requires additional documentation to trace ultimate beneficial ownership. The CCO must be involved in approving business relationships with entities where ultimate beneficial ownership cannot be confirmed.

7. BUSINESS RELATIONSHIP AND ONGOING MONITORING

7.1 Definition of Business Relationship

A business relationship is established between Luxora and a client when:

- Luxora opens an account for the client, OR
- The client conducts two or more prescribed transactions within a five-year period (excluding large cash transactions, suspicious transactions, or any transaction where Luxora is not required to identify the client).

7.2 Obligations upon Establishing a Business Relationship

Upon establishing a business relationship, Luxora must:

10. Keep a business relationship record containing the purpose and intended nature of the relationship.
11. Conduct and document risk assessment of the relationship.
12. Determine whether the client is a PEP, HIO, or close associate (see Section 8).
13. Determine beneficial ownership for non-individual clients (see Section 6).
14. Establish an ongoing monitoring plan appropriate to the risk level.

7.3 Ongoing Monitoring Requirements

Luxora must conduct ongoing monitoring of all business relationships to:

- Detect transactions or activities that are inconsistent with the client's expected transaction profile.
- Keep client identification and KYC information current.
- Reassess the risk rating of the relationship when warranted.
- Identify any new or emerging ML/TF risks associated with the relationship.

7.4 Transaction Monitoring Controls

Luxora employs the following transaction monitoring controls:

- Automated rule-based monitoring system that generates alerts for unusual transactions.
- Manual review by the CCO or designated compliance staff of all alerts.
- Daily review of large cash transactions and cross-border transfers.
- Peer comparison analysis to identify anomalous patterns within similar client groups.
- Monitoring for structuring or smurfing behavior (multiple transactions just below reporting thresholds).

7.5 Termination of Business Relationship

Where Luxora cannot complete required ongoing monitoring, or where a client presents an unacceptable risk of ML/TF, the CCO may direct that the business relationship be terminated.

Termination decisions must be documented. Where the termination is related to suspected ML/TF, the CCO shall consider whether an STR is required prior to or upon termination, ensuring that tipping-off provisions (Section 20) are not breached.

8. POLITICALLY EXPOSED PERSONS (PEPs) AND HEADS OF INTERNATIONAL ORGANIZATIONS (HIOs)

8.1 Definitions

A Politically Exposed Person (PEP) is an individual who holds or has held one of the following positions, either domestically or in a foreign country:

- Head of state or head of government.
- Member of the executive council of government or member of a legislature.
- Deputy minister or equivalent.
- Ambassador, or attaché or counsellor of an ambassador.
- Military officer with a rank of general or above.
- President of a state-owned company or bank.
- Head of a government agency.
- Judge of a supreme court, constitutional court, or other court of last resort.
- Member of the board of a central bank.

A Head of an International Organization (HIO) is the head of an international organization established by the governments of states, or the head of an institution established by such an organization.

Close associates and family members of PEPs and HIOs must be treated with the same enhanced scrutiny as the PEP or HIO themselves.

8.2 Domestic vs. Foreign PEPs

Category	Enhanced Due Diligence Requirements
Domestic PEP or HIO	Enhanced scrutiny is required if Luxora has determined there is a high risk of ML/TF. Senior management must approve the business relationship. Source of funds and wealth must be established.
Foreign PEP	Mandatory Enhanced Due Diligence regardless of assessed risk. Source of funds and wealth must be established. Senior management must approve the business relationship. Ongoing monitoring at least every 12 months.
Close associates and family members	Apply the same EDD tier as the PEP/HIO themselves. Document the nature of the relationship between the individual and the PEP/HIO.

8.3 PEP/HIO Screening Process

15. Screen all clients against PEP/HIO databases at onboarding.
16. Use a combination of automated screening tools (e.g., Refinitiv World-Check, Dow Jones Risk & Compliance, or equivalent) and manual review.

17. Re-screen clients periodically (at minimum annually for high-risk relationships, biannually for medium-risk).
18. Re-screen immediately upon news or information that suggests a change in a client's PEP/HIO status.
19. Document all screening results, including negative results.

8.4 Five-Year Lookback

An individual who was a PEP or HIO but no longer holds that position retains PEP/HIO status for a period of five years following the cessation of the role. Luxora will continue to apply enhanced scrutiny during this period.

9. THIRD-PARTY DETERMINATION

9.1 Obligation

Luxora must take reasonable measures to determine whether a transaction is being conducted on behalf of a third party (i.e., the true beneficial transactor is someone other than the individual physically present at or initiating the transaction).

9.2 Process

20. Ask all clients at the time of each transaction or upon establishing a business relationship: 'Are you acting on behalf of another person or entity?'
21. If the client indicates they are acting for a third party, obtain:
 - Full name of the third party.
 - Address of the third party.
 - Date of birth (for individuals) or registration number (for entities).
 - Nature of the relationship between the client and the third party.
22. Record all third-party information in the client file.
23. Reassess the risk rating of the transaction or relationship in light of the third-party involvement.

9.3 High-Risk Indicators for Third-Party Transactions

- Client is unable or unwilling to explain the nature of the third party's interest.
- Third party is located in a high-risk jurisdiction.
- Third party is a PEP, HIO, or on a sanctions list.
- The transaction pattern suggests structuring on behalf of a third party.

Where third-party indicators are present, the CCO must be notified and Enhanced Due Diligence applied to both the client and the third party.

10. SUSPICIOUS TRANSACTION REPORTING (STR)

10.1 Legal Obligation

Every person or entity that is subject to the PCMLTFA must report any transaction — whether completed or attempted — where there are reasonable grounds to suspect that the transaction is related to the commission of a money laundering offence or a terrorist activity financing offence. This obligation applies regardless of transaction amount and regardless of whether client identification was performed.

10.2 Reasonable Grounds to Suspect

'Reasonable grounds to suspect' is a lower standard than 'reasonable grounds to believe.' It is based on objective factors — information, facts, or circumstances that would cause a reasonable person to suspect ML/TF involvement — but does not require certainty or proof. Suspicion may arise from a single indicator or a combination of factors.

10.3 STR Filing Process

24. Any employee who identifies a suspicious transaction or pattern must immediately report their concern to the CCO using the internal Suspicious Activity Report (SAR) form.
25. The CCO (or Deputy CCO) reviews the SAR and all available information, including transaction history, client profile, and open-source information, within 24 hours.
26. If the CCO determines that reasonable grounds to suspect exist, an STR must be filed with FINTRAC as soon as practicable, and no later than 30 days after the date when the suspicion arose.
27. If the suspicion arises during a transaction, the CCO determines whether to proceed with or halt the transaction based on legal advice and operational considerations.
28. The completed STR form (FINTRAC F2) is submitted electronically through FINTRAC's secure portal.
29. All STR-related documentation — including the internal SAR, the final STR submitted to FINTRAC, and any supporting evidence — is retained for a minimum of five years.

10.4 Confidentiality of STRs

STRs and any information that could identify an STR as having been filed are strictly confidential. Employees must not disclose to any person — including the subject client, their associates, or other employees not on a need-to-know basis — that an STR has been filed or is being considered. This is the 'tipping off' prohibition under s. 8 of the PCMLTFA (see also Section 20).

10.5 Attempted Transactions

Where a client attempts a transaction that Luxora declines to complete and the CCO determines there are reasonable grounds to suspect ML/TF, an STR must be filed even though the transaction was not completed. The STR must clearly indicate the transaction was attempted rather than completed.

11. LARGE CASH TRANSACTION REPORTING (LCTR)

11.1 Reporting Threshold

Luxora must file a Large Cash Transaction Report (LCTR) with FINTRAC when it receives CAD \$10,000 or more in cash — including foreign currency equivalent — in a single transaction, or in two or more transactions that total CAD \$10,000 or more within 24 consecutive hours if carried out by or on behalf of the same individual or entity.

11.2 The 24-Hour Rule

The 24-hour aggregation rule applies when Luxora knows or ought to know that multiple cash transactions within a 24-hour period are conducted by the same person or entity, or by different persons on behalf of the same entity. Employees must actively monitor same-day transactions and alert the CCO when aggregated cash received from a client approaches the CAD \$10,000 threshold.

11.3 Filing Requirements

- LCTRs must be filed within 15 calendar days of the transaction date.
- LCTRs are filed electronically through FINTRAC's secure online reporting portal.
- The LCTR must contain prescribed information including client identification, transaction details, and disposition of funds.

11.4 Exemptions

An LCTR is not required for cash received from:

- A Canadian financial institution (bank, credit union, loan company, trust company, caisse populaire).
- A public body.
- A business that is engaged in a line of business where it is normal to receive large amounts of cash (subject to CCO review and documentation).

Any decision to apply an exemption must be documented by the CCO, including the basis for the exemption.

12. LARGE VIRTUAL CURRENCY TRANSACTION REPORTS (LVCTR)

Luxora must file a Large Virtual Currency Transaction Report (LVCTR) with FINTRAC when it receives virtual currency (VC) equivalent to CAD \$10,000 or more in a single transaction, or when two or more VC transactions by or on behalf of the same person or entity total CAD \$10,000 or more within 24 consecutive hours.

12.1 Filing Requirements

- LVCTRs must be filed within 5 business days of the transaction date.
- LVCTRs are filed electronically through FINTRAC's secure reporting portal.
- The conversion rate used (e.g., CAD equivalent of Bitcoin, Ethereum, etc.) must be recorded at the time of the transaction.

12.2 Virtual Currency Identification

In addition to LVCTR obligations, identification of the client is required for any VC transaction of CAD \$1,000 or more. Luxora must also record the type of virtual currency, the transaction hash or equivalent identifier, and the blockchain wallet address(es) involved.

13. ELECTRONIC FUNDS TRANSFER REPORTING (EFT)

13.1 International EFT Reports

Luxora must file an Electronic Funds Transfer Report (EFTR) with FINTRAC for each international EFT (SWIFT, wire transfer, or equivalent) of CAD \$10,000 or more that it sends out of Canada or receives from outside Canada.

13.2 Aggregation Rule for EFTs

Two or more international EFTs totaling CAD \$10,000 or more within 24 consecutive hours, sent by the same client or on behalf of the same entity, trigger an EFTR filing.

13.3 Filing Requirements

- EFTRs must be filed within 5 business days of the transaction date.
- EFTRs are filed electronically through FINTRAC's secure reporting portal.
- The report must include complete originator and beneficiary information, financial institution details, and transaction amounts in both original currency and CAD equivalent.

13.4 Exemptions

EFTRs are not required for EFTs sent to or received from:

- A Canadian financial institution for the purpose of the financial institution's activities.
- A public body.

Any exemption applied must be documented.

14. TRAVEL RULE COMPLIANCE

14.1 Overview

FINTRAC's Travel Rule (aligned with FATF Recommendation 16) requires that originator and beneficiary information accompany electronic funds transfers and virtual currency transfers. This requirement applies to all international and domestic transfers processed by Luxora.

14.2 Required Information for Outgoing Transfers

Luxora must include the following information with all outgoing EFTs of CAD \$1,000 or more:

- Originator's full name.
- Originator's account number (or unique reference number if no account exists).
- Originator's address, date of birth, or customer identification number.
- Beneficiary's full name.

- Beneficiary's account number (or equivalent).

14.3 Required Information for Incoming Transfers

When Luxora receives an international EFT of CAD \$1,000 or more, it must:

- Take reasonable measures to ensure the required originator and beneficiary information accompanied the transfer.
- Where originator information is incomplete or missing, conduct additional due diligence before processing.
- Consider filing an STR where originator information is consistently absent, incomplete, or inconsistent.

14.4 Virtual Currency Travel Rule

For VC transfers of CAD \$1,000 or more, Luxora must collect and transmit originator and beneficiary information to the receiving VC service provider using an appropriate Travel Rule protocol (e.g., TRISA, OpenVASP, or another FATF-compliant solution).

15. SANCTIONS SCREENING

15.1 Obligation

Luxora Finance Ltd. is prohibited from conducting transactions with individuals or entities subject to Canadian or international sanctions. This includes sanctions imposed under:

- The United Nations Act (Canada).
- The Special Economic Measures Act (SEMA).
- The Justice for Victims of Corrupt Foreign Officials Act (Sergei Magnitsky Law).
- The Freezing Assets of Corrupt Foreign Officials Act.
- OFAC (US Treasury Office of Foreign Assets Control) — monitored as a global best practice.
- UK OFSI and EU sanctions — monitored for cross-border transactions.

15.2 Screening Process

30. All clients are screened against applicable sanctions lists at onboarding and on a periodic basis (at minimum monthly, or immediately upon publication of list updates).
31. All beneficiaries of transfers are screened prior to each transaction.
32. Automated sanctions screening software is used, integrated with the Company's transaction processing system.
33. Any positive match (including partial name matches, aliases, and variations) is escalated immediately to the CCO.
34. The CCO determines whether the match is a true positive or a false positive, documenting the rationale.
35. True positive matches result in immediate transaction freeze, refusal to proceed, and notification to the Financial Transactions and Reports Analysis Centre and, where applicable, Global Affairs Canada.

15.3 Recordkeeping

All sanctions screening results — including negative screening results — are retained in the client file for a minimum of five years.

16. CORRESPONDENT RELATIONSHIPS AND AGENT NETWORKS

16.1 Overview

Luxora may engage correspondents, agents, sub-agents, or payment network partners to extend its service reach. These relationships create additional ML/TF risk and require specific due diligence.

16.2 Due Diligence on Correspondents and Agents

Before establishing any correspondent or agent relationship, the CCO must:

- Verify that the correspondent/agent is duly registered or licensed in their jurisdiction.
- Assess the correspondent/agent's AML/ATF compliance program and determine that it meets standards equivalent to Canadian requirements.
- Obtain AML/ATF policies, procedures, and certifications from the correspondent/agent.
- Conduct sanctions and PEP screening on the owners and key officers of the correspondent/agent.
- Execute a written agreement that specifies AML/ATF obligations, data-sharing requirements, audit rights, and termination provisions.

16.3 Prohibition on Shell Bank Relationships

Luxora is prohibited from establishing or maintaining a correspondent relationship with any shell bank (an entity that has no physical presence in any country and is not affiliated with a regulated financial institution). Any existing relationship determined to be with a shell bank must be terminated immediately.

16.4 Ongoing Monitoring of Agent Networks

Agents and correspondents are subject to periodic compliance reviews (at minimum annually). Agents that fail to meet Luxora's AML/ATF standards must be suspended or terminated. All agent transaction data must be available to Luxora for the purposes of compliance monitoring and reporting.

17. RECORDKEEPING

17.1 General Requirements

Luxora must keep records in a manner that allows them to be retrieved promptly and provided to FINTRAC upon request. All records must be legible, complete, and accurate.

17.2 Retention Periods

Record Type	Minimum Retention Period
Large Cash Transaction Reports and supporting records	5 years from date of transaction
Large Virtual Currency Transaction Reports and supporting records	5 years from date of transaction
Electronic Funds Transfer Reports and supporting records	5 years from date of transaction
Suspicious Transaction Reports and supporting records	5 years from date of filing
Client identification records (individuals and entities)	5 years from date of last transaction in the business relationship
Business relationship records	5 years from end of business relationship
Beneficial ownership records	5 years from end of business relationship
Foreign exchange transaction tickets (CAD \$3,000+)	5 years from date of transaction
Virtual currency transaction records (CAD \$1,000+)	5 years from date of transaction
Employee training records	5 years from date of training
Compliance effectiveness review reports	5 years from date of report
Correspondent and agent agreement files	5 years from termination of relationship

17.3 Format and Storage

- Records may be kept in paper or electronic format, provided they can be reproduced in a readable form.
- Electronic records must be backed up regularly to secure, redundant storage systems.
- Records containing personal information must be maintained in compliance with the Personal Information Protection and Electronic Documents Act (PIPEDA) and applicable provincial privacy legislation.
- Records must be protected from unauthorized access, alteration, or destruction.

17.4 Access by FINTRAC

Luxora acknowledges FINTRAC's right to access, examine, and take copies of all records maintained under the PCMLTFA during the course of a compliance examination or investigation. Employees must cooperate fully with FINTRAC examiners and must not obstruct, hinder, or mislead them.

18. EMPLOYEE SCREENING AND TRAINING

18.1 Pre-Employment Screening

All prospective employees, contractors, and agents who will have access to client information or participate in financial transactions must undergo a background check before commencing work. Background checks must include:

- Criminal record check (including offences relating to fraud, theft, and financial crimes).
- Employment history verification.
- Reference checks.
- Credit check for roles with financial responsibility.
- Identity verification.

Results of background checks are reviewed by the CCO or Human Resources in conjunction with the CCO. Candidates with prior convictions for financial crimes, fraud, or ML/TF-related offences will not be hired for roles with compliance, financial, or client-facing responsibilities.

18.2 AML/ATF Training Program

All employees must complete AML/ATF training as follows:

Training Type	Details
Onboarding AML/ATF Training	All new employees must complete foundational AML/ATF training within 30 days of commencing employment. Training covers the PCMLTFA, this Policy, red flags, reporting obligations, and confidentiality requirements.
Annual Refresher Training	All employees must complete annual refresher training covering regulatory updates, new typologies, internal policy changes, and lessons learned from internal or industry incidents.
Role-Specific Training	Employees in compliance, operations, and client-facing roles receive enhanced training relevant to their responsibilities, including scenario-based exercises.
PEP/Sanctions Training	All employees who perform onboarding or transaction screening receive specialized training on PEP/HIO identification and sanctions screening procedures.
Virtual Currency Training	Staff handling VC transactions receive additional training on VC-specific ML/TF risks, blockchain analysis concepts, and LVCTR/Travel Rule compliance.

18.3 Training Records

The CCO maintains records of all training completed by each employee, including training dates, topics covered, and pass/fail results where applicable. These records are retained for a minimum of five years. Training completion is tracked and reported to senior management quarterly.

18.4 Consequences of Non-Compliance

Employees who fail to complete required training, who knowingly file false reports, who assist in money laundering or terrorist financing, or who otherwise violate this Policy are subject to disciplinary action up to and including immediate termination and referral to law enforcement.

19. AML PROGRAM REVIEW AND AUDIT

19.1 Effectiveness Review Requirement

The PCMLTFA and associated regulations require Luxora to periodically review the effectiveness of its AML/ATF compliance program. This effectiveness review must assess whether the policies, procedures, and controls are adequate and effective in detecting and deterring money laundering and terrorist financing.

19.2 Frequency of Review

- Luxora conducts a formal AML/ATF effectiveness review at least every two years.
- An ad hoc review is triggered when there is a material change in the business model, regulatory requirements, or a compliance examination finding.

19.3 Scope of Review

The effectiveness review covers:

- Assessment of policies and procedures against current regulatory requirements.
- Testing of transaction monitoring systems and alert disposition processes.
- Review of STR, LCTR, LVCTR, and EFTR filing accuracy and timeliness.
- Review of client identification and KYC records for completeness and accuracy.
- Assessment of training program effectiveness.
- Review of agent and correspondent due diligence processes.
- Testing of sanctions screening controls.
- Review of recordkeeping compliance.

19.4 Independence

The effectiveness review must be conducted by a qualified individual who is independent from the operations being reviewed. This may be:

- An internal audit function that does not report to the CCO.
- An external AML/ATF consultant or law firm.
- A combination of internal and external review.

19.5 Reporting and Remediation

The results of the effectiveness review are documented in a written report submitted to the CCO and the Board of Directors. The report must include:

- Findings and identified deficiencies.
- Risk ratings for each finding.
- Recommended remediation actions.
- Timelines for remediation.

The CCO is responsible for tracking and implementing remediation actions and reporting progress to the Board.

20. WHISTLEBLOWER AND TIPPING-OFF PROVISIONS

20.1 Whistleblower Protection

Employees who report in good faith their concerns about potential ML/TF activity, non-compliance with this Policy, or regulatory violations are protected from retaliation. Luxora Finance Ltd. strictly prohibits any form of retaliation against whistleblowers, including demotion, termination, harassment, or adverse changes in working conditions.

Employees may report concerns through the following channels:

- Directly to the CCO (in person, by email, or by telephone).
- To the Deputy CCO if the concern involves the CCO.
- To any member of the Board of Directors if senior management is implicated.
- Directly to FINTRAC or law enforcement where the employee reasonably believes internal reporting will not be effective.

20.2 Prohibition on Tipping Off

Under section 8 of the PCMLTFA, it is a criminal offence to disclose to any person — including the client who is the subject of the report, their associates, or any other unauthorized person — that a Suspicious Transaction Report has been or is being considered for submission to FINTRAC. This prohibition extends to any information that could lead a person to identify the STR.

Employees must not:

- Inform a client that their transaction has triggered an internal investigation or SAR.
- Advise a client to restructure or change a transaction to avoid reporting.
- Discuss pending STRs with colleagues who do not need to know for legitimate compliance purposes.

Violation of the tipping-off prohibition can result in criminal prosecution, fines, and imprisonment.

21. POLICY REVIEW AND UPDATES

This Policy is reviewed and updated:

- Annually, as part of Luxora's regular policy review cycle.
- Immediately upon any change to the PCMLTFA, regulations, or FINTRAC guidance that materially affects Luxora's obligations.
- Following any material change to Luxora's business model, products, clients, or geographic footprint.
- Following any adverse finding in an effectiveness review, FINTRAC examination, or internal audit.

Material amendments to this Policy require approval by the Board of Directors. Minor amendments (e.g., updates to regulatory references, contact information) may be approved by the CCO and reported to the Board at its next meeting.

All employees will be notified of Policy updates and must acknowledge receipt and understanding of the updated Policy within 14 days.

APPENDIX A — RISK RATING MATRIX

Risk Factor	LOW	MEDIUM	HIGH
Client Type	Salaried employee, established Canadian resident	Self-employed, small business, cross-border client	PEP/HIO, non-resident, trust/complex structure
Geography	Transaction within Canada	Transaction to FATF-compliant jurisdiction	Transaction to/from FATF grey/black-listed or sanctioned country
Product	Standard FX, domestic transfer	International remittance, prepaid products	Virtual currency exchange, cash-intensive
Transaction Value	Under CAD \$5,000	CAD \$5,000–\$49,999	CAD \$50,000 and above
Channel	In-person, branch-based	Online, mobile app	Agent/sub-agent, anonymous digital channel
Source of Funds	Verified employment/investment income	Business income, multiple sources	Unknown, unclear, cash-only
Business Type (entity clients)	Regulated entity, public company	Private company with clear ownership	Shell company, complex multi-layered structure

APPENDIX B — RED FLAGS AND INDICATORS OF ML/TF

General Red Flags

- Client is reluctant to provide identification or provides false/altered documents.
- Client appears nervous, evasive, or unable to explain the source of funds or purpose of the transaction.
- Transaction amount is just below a reporting threshold (structuring indicator).
- Multiple transactions are conducted in quick succession or on behalf of multiple individuals.
- Client uses multiple addresses or changes personal information frequently.
- Client requests that records not be kept or that identification not be recorded.
- Transaction has no apparent business or economic purpose.

Money Remittance and EFT Red Flags

- Frequent transfers to high-risk jurisdictions, especially jurisdictions with known ML/TF risks.
- Beneficiary name does not match the expected recipient for the stated purpose.
- Client sends funds to multiple different beneficiaries with no logical explanation.
- Transfers originate from or are destined for a country subject to Canadian or international sanctions.
- Rapid movement of funds with no apparent legitimate business rationale.

Virtual Currency Red Flags

- Client uses mixing or tumbling services to obscure the origin of VC.
- Client sends or receives VC from known darknet marketplace addresses.
- Client exchanges VC to cash or cash equivalents immediately after receiving funds.
- Transactions involve privacy coins (e.g., Monero, Zcash) without a clear business purpose.
- Wallet address is flagged by blockchain analytics as linked to illicit activity.

Terrorist Financing Red Flags

- Client is on or closely associated with a person on a government sanctions list.
- Transaction is destined for a conflict zone or jurisdiction associated with terrorist organizations.
- Small, frequent transfers to multiple individuals in a high-risk region.
- Client makes statements glorifying terrorism or expressing extremist views during the transaction.

APPENDIX C — KEY DEFINITIONS

Term	Definition
Anti-Money Laundering (AML)	The set of laws, regulations, and procedures intended to prevent criminals from disguising illegally obtained funds as legitimate income.
Anti-Terrorist Financing (ATF)	The set of laws, regulations, and procedures intended to prevent the provision of financial support for terrorist activities or organizations.
Beneficial Owner	Any individual who directly or indirectly owns or controls 25% or more of a legal entity, or who otherwise exercises effective control.
Business Relationship	A relationship between Luxora and a client that arises from the opening of an account or from two or more prescribed transactions within a 5-year period.
FINTRAC	Financial Transactions and Reports Analysis Centre of Canada — Canada's financial intelligence unit and AML/ATF regulator.
HIO	Head of an International Organization — the head of an international body established by governments or by another international organization.
Know Your Client (KYC)	The process of verifying the identity of clients and assessing their suitability, along with the potential risks of illegal intentions in the business relationship.
Money Laundering	The process by which the proceeds of crime are transformed into ostensibly legitimate money or other assets.
Money Services Business (MSB)	An entity registered with FINTRAC that provides currency exchange, money transfer, virtual currency exchange, prepaid payment products, or cheque cashing services.
PCMLTFA	Proceeds of Crime (Money Laundering) and Terrorist Financing Act — Canada's primary AML/ATF statute.
PEP	Politically Exposed Person — an individual who holds or has held a senior public office domestically or in a foreign country.
Reasonable Grounds to Suspect	A standard lower than 'reasonable grounds to believe,' based on objective factors that would cause a reasonable person to suspect ML/TF involvement.
STR	Suspicious Transaction Report — a mandatory report filed with FINTRAC when there are reasonable grounds to suspect a transaction is linked to ML/TF.
Structuring	The practice of deliberately breaking up financial transactions into smaller amounts to avoid reporting thresholds.
Terrorist Financing	Providing or collecting funds with the intention that they be used, or knowing they will be used, to carry out terrorist acts or support terrorist organizations.
Tipping Off	Disclosing to a client or other unauthorized person that an STR has been or may be filed — a criminal offence under the PCMLTFA.

Travel Rule	The regulatory requirement (FATF Recommendation 16) that originator and beneficiary information accompany electronic and virtual currency transfers.
Virtual Currency (VC)	A digital representation of value that can be used for payment or investment purposes, including cryptocurrencies such as Bitcoin and Ethereum.

POLICY ACKNOWLEDGMENT AND APPROVAL

This Anti-Money Laundering and Anti-Terrorist Financing Policy has been reviewed, approved, and adopted by the Board of Directors of Luxora Finance Ltd.

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